← Academy

Cost Approach Review

VALUATION CORE

Trust the cost approach only where it's actually reliable.

THE PROBLEM

What you're facing

Replacement cost new less depreciation (RCNLD) drives much of the residential and special-purpose roll, but cost tables, local multipliers, and depreciation can drift from the market.

WHY IT MATTERS

What's at stake

The cost approach carries the roll where sales are thin, but it quietly goes wrong: an outdated local multiplier or a depreciation schedule that doesn't match the market produces uniform-looking but incorrect values across thousands of parcels.

THE MENTAL MODEL

How experts think

Experts calibrate cost to the market, not the other way around. They check that RCNLD reconciles with sales in areas where both exist, then trust the calibrated cost model where sales are scarce. Locally, the Benton Method expresses contributory features as a percent of building value (e.g., patios ~3%, basements ~13%, shops ~15–18%) calibrated to the market.

Workflow

1. Verify replacement cost new against the current cost service + local multiplier.
2. Check depreciation (physical, functional, external) against observed market evidence.
3. Reconcile RCNLD with sales where both exist; adjust the multiplier if they diverge.
4. Apply calibrated contributory-feature percentages consistently.
5. Trust the calibrated cost model in thin-sales areas.

Common mistakes

- Running cost tables without local calibration.
- Letting depreciation schedules drift from the market.
- Applying feature values inconsistently parcel to parcel.
- Using the cost approach where good sales exist and the market approach is better.

Tools

Cost service (Marshall & Swift) Local cost multiplier Depreciation schedules Sales for calibration

DO THIS NEXT

Now What?

1. Reconcile RCNLD to sales in a calibrated neighborhood and check the multiplier.
2. Standardize contribut
3. Reserve the cost app